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Montage Technology Co Ltd | Asia Pacific

2Q beat driven by continued strong demand

Reaction to earnings

Strengthens our thesis
Impact to our thesis

↑ **Modest upside**
Financial results versus consensus

↑ **Modest revision higher**
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Good 2Q preliminary results were driven by AI demand, despite a strong RMB. The company said its operations remain normal after the Korean prosecutor's recent antitrust investigation, which may take some time to complete.

Strong 2Q preliminary results: 2Q preliminary revenue was Rmb1.9bn, +28% Q/Q, +33% Y/Y, 6% above MSe, negatively affected by strong RMB vs USD. 2Q preliminary mid-point net profit was Rmb1.2bn, +36% Q/Q, +82% Y/Y, 50% above MSe. 2Q preliminary mid-point net profit excluding non-recurring items was Rmb0.7bn, +24% Q/Q, +27% Y/Y. The company noted the strong 1H results were due to AI demand across RCD and new interconnect chips products. 2Q net profit was helped by non-recurring items, such as investment gains, fair value changes. 3Q demand outlook remains strong and the company has strong order visibility.

Update on the recent investigation (see [press reports](#)): Montage announced that, on July 15, 2026, the Fair Trade Investigation Department of the Seoul Central District Prosecutors' Office conducted an on-site search and collected evidence at Montage's Korean office in connection with "potential violations of applicable antitrust laws and regulations". Montage said it is cooperating with all requests made by the Prosecutors' Office in connection with the investigation. As of the date of the announcement, the company said that neither it nor any of its directors or employees has been accused of misconduct by the Prosecutors' Office or any other government authority. The company's operations remain normal, and it will continue to focus fully on product research and development and on serving its customers. As the matter remains under investigation, the company said it is unable to predict the duration or outcome of the investigation.

Buyback announcement: On July 16, the Chairman and CEO, Dr. Howard Yang, proposed a Rmb300-600mn buyback plan of the company's A-share, pending board approval.

Maintain OW: We believe Montage is well positioned to benefit from expanding AI demand, driven by inference and agentic tasks through memory interface chips. We also see it as a unique proxy to benefit from China's AI server market through its PCIe business. Please refer to [Global Technology: Innovating the Next-Generation Memory](#).

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Asia Summer School 2026

Montage Technology Co Ltd (688008.SS, 688008.CG)

Greater China Technology Semiconductors | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb377.00
Up/downside to price target (%)	79
Shr price, close (Jul 16, 2026)	Rmb211.13
52-Week Range	Rmb332.90-81.66
Sh out, dil, curr (mn)	1,136
Mkt cap, curr (mn)	Rmb239,916
EV, curr (mn)	Rmb232,460
Avg daily trading value (mn)	Rmb7,545

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.90	3.09	6.40	9.26
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)\$	2.04	3.04	4.48	6.34
Revenue, net (Rmb mn)	5,280	7,517	13,915	19,506
EBITDA (Rmb mn)	1,852	3,762	7,862	11,457
ModelWare net inc (Rmb mn)	2,158	3,592	7,424	10,752
P/E	62.2	66.8	32.3	22.3
P/BV	10.4	10.5	7.9	5.9
RNOA (%)	33.7	50.5	110.3	137.9
ROE (%)	18.9	27.9	32.6	35.6
EV/EBITDA	68.3	60.8	28.3	18.5
FCF yld ratio (%)**	0.7	1.6	2.7	4.2
Leverage (EOP) (%)	(57.9)	(76.9)	(79.6)	(83.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Montage Technology Co Ltd (6809.HK)

Base case, residual income model. Key assumptions:

- 8.4% CoE (1.2 beta, 3.0% risk-free rate, and 4.5% risk premium)
- 30% payout ratio
- 19.3% medium-term growth rate
- 4% terminal growth rate

These assumptions reflect cloud capex growth, DRAM interface technology migration, and Montage's strong position in China's datacenter semi localization. We then apply an exchange rate of 1.15 HKD:1 RMB, assuming no H-share discount vs the A-share.

Risks to Upside

- Faster-than-expected phase-out of US peers
- Faster-than-expected spec migration

Risks to Downside

- Weaker-than-expected cloud demand
- Slower-than-expected DRAM interface technology migration
- Delay in new product launches

Montage Technology Co Ltd (688008.SS)

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- 8.4% CoE (1.2 beta, 3.0% risk-free rate, and 4.5% risk premium)
- 30% payout ratio
- 19.3% medium-term growth rate
- 4% terminal growth rate

We believe these assumptions are justified, given the cloud capex growth, DRAM interface technology migration, and Montage's strong position in China's datacenter semi localization.

Risks to Upside

- Faster-than-expected phase-out of US peers
- Faster-than-expected spec migration

Risks to Downside

- Weaker-than-expected cloud demand
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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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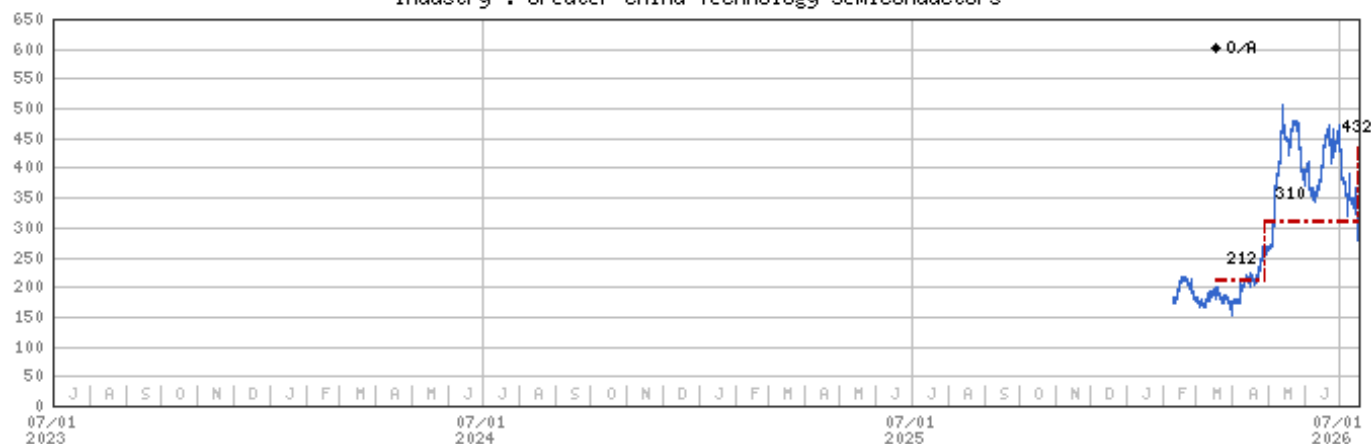
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Stock Price, Price Target and Rating History (See Rating Definitions)

Montage Technology Co Ltd (6809.HK) - As of 07/17/26 GMT in HKD
Industry : Greater China Technology Semiconductors



Stock Rating History: 3/18/26 : O/A

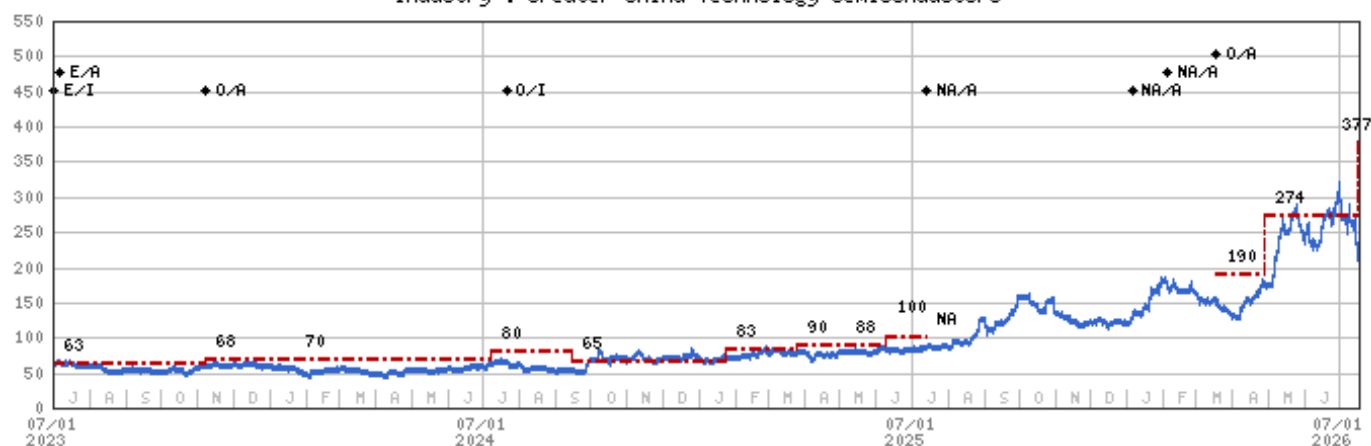
Price Target History: 3/18/26 : 212; 4/28/26 : 310; 7/16/26 : 432

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Montage Technology Co Ltd (688008.SS) - As of 07/17/26 GMT in CNY
Industry : Greater China Technology Semiconductors



Stock Rating History: 7/1/21 : E/I; 10/12/21 : E/C; 5/20/22 : U/C; 10/4/22 : U/A; 12/13/22 : O/A; 2/22/23 : O/I; 5/4/23 : E/I; 7/7/23 : E/A; 11/8/23 : O/A; 7/21/24 : O/I; 7/14/25 : NA/A; 1/5/26 : NA/A; 2/4/26 : NA/A; 3/18/26 : O/A

Price Target History: 5/5/21 : 55; 10/29/21 : 62; 11/16/21 : 80; 4/8/22 : 60; 5/20/22 : 52; 7/19/22 : 44; 10/12/22 : 38; 12/13/22 : 85; 1/11/23 : 78; 5/4/23 : 63; 11/8/23 : 68; 1/23/24 : 70; 7/8/24 : 80; 9/15/24 : 65; 1/24/25 : 83; 3/25/25 : 90; 5/6/25 : 88; 6/9/25 : 100; 7/14/25 : NA; 3/18/26 : 190; 4/28/26 : 274; 7/16/26 : 377

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
Charlie Chan		

ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$84.09
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb361.42
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$127.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,770.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$682.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,279.22
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,185.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$1,370.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$516.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$157.40
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$556.50
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$318.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb83.25
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,700.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb890.00
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$439.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb702.76
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb109.85
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$1,980.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb107.32
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$473.00
SMIC (0981.HK)	O (10/21/2025)	HK\$75.20
TSMC (2330.TW)	O (02/07/2022)	NT\$2,470.00
UMC (2303.TW)	O (05/19/2026)	NT\$160.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$187.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$369.00
Daisy Dai, CFA		
ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$177.50
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb65.50
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb106.21
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb36.22
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb320.40
Innoscence (2577.HK)	E (10/13/2025)	HK\$48.00
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb83.21
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$28.10
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb120.24
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb97.93
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb70.16
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb26.10
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb101.70
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$909.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,515.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$13,905.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$101.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$175.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb120.61
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb514.61
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$136.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$278.60
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb211.13
Novatek (3034.TW)	U (02/04/2026)	NT\$471.50
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$156.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$631.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$76.50

Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$712.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb54.83
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$172.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$113.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$196.00
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb136.50
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb463.59
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,075.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$555.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$12.90
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,695.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,220.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$272.45
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,735.00

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* Historical prices are not split adjusted.